EXECUTIVE SUMMARY

1. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines through the leadership of Juan De Salcedo. It was discovered as tribal community together with the Municipality of Buguey. And in 1877, the virtue of Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P. It has 50 barangays and is classified as 1st class municipality with a land area of 70,750.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Gattaran covering the period from January 1 to December 31, 2015. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

Particulars	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	₱ 231,924,010.48	₱ 195,942,627.52	₱35,981,382.96
Total Liabilities	33,843,300.97	₱ 39,957,976.42	(6,114,675.45)
Total Government Equity	198,080,709.51	₱ 157,622,900.99	₱40,457,808.52
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱ 187,687,113.11	₱ 163,947,191.98	₱23,739,921.13

Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	0.00	124,219,472.51	(124,219,472.51)
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱ 173,316,199.00	₱ 321,863,767.58	₱175,445,563.61
Appropriations-Continuing	7,283,462.89	3,580,453.90	3,580,453.90
Allotments - Current	27,655,343.89	321,863,767.58	175,445,563.61
Allotments -Continuing	330,425.30	3,580,453.90	3,580,453.90
Obligations - Current	147,194,022.64	267,266,496.92	133,367,711.88
Obligations -Continuing	₱ 6 ,953,037.59	₱ 3,579,126.17	₱ 3,579,126.17
	2015	**2014**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGA	₱ 19,621,650.00	₱ 10,854,728.43	₱ 8,766,921.57
LGUs	2,000,000.00	5,050,000.00	(3,050,000.00)
NGO/Pos		0.00	0.00
Others(PCF)	1,296,750.00	1,617,500.00	(320,750.00)
Total	₱ 22,918,400.00	₱ 17,522,228.43	₱ 5,396,171.57
Funds Transferred to Other Agencies			
NGA	₱ 0.00	₱ 0.00	₱ 0.00
LGUs	0.00	0.00	0.00
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	₱ 0.00	₱ 0.00	₱ 0.00

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements due to (a) effects of the recorded balances of the Property, Plant and Equipment (PPE) with a total value of ₱467,901,301.18 which is unreliable due to non-conduct of physical count and non-preparation and submission of the Report on the Physical Count of PPE; (b) the reliability of the Cash in Bank account balances of ₱49,913,048.73 could not be ascertained due to the non-preparation of bank reconciliation statements; (c) the balance of Local Risk Reduction and Management Fund of ₱17,155,657.52 was not transferred to special trust fund; thirteen parcels of land/lots acquired through purchased/donation with a market value of ₱1,227,110.00 were recorded in the books but without titles or proof of ownership; (d) Philhealth Capitation Fund (PCF) was recorded under the General Fund instead of Trust Fund**;** (e) Accounts Payable in the total amount of

₱334,030.50 which remained outstanding for three years and without supporting documents not reverted and (f) overstatement of Advances to Officers and Employees and corresponding understatement of expenses under the General Fund and Special Education Fund in the amount of ₱1,085,294.74 and ₱220,373.40 due to non submission of liquidation reports.

4. Summary of Significant Observations and Recommendations

1. **The unexpended balance of completed projects undertaken under the 20% Development Fund for CY 2014 to 2015 in the amount of ₱4,235,787.45 and ₱16,911,639.47, respectively, or a total of ₱21,147,426.92 remained idle/unutilized because the accountant did not revert the said amount at the end of the every year.**

   We recommended that management ensure that all the unutilized balance of all completed projects every end of the year be re-appropriated so that management can utilize or finance other developmental projects beneficial to the constituents.

2. **Fuel consumption in the total amount of ₱4,824,157.07 were paid even the supporting Driver's Trip Tickets were not completely filled up/ accomplished because the accountant just signed/certified the corresponding disbursement vouchers without verifying thoroughly the completeness of supporting documents.**

   We recommended that management require the General Service Office to submit Monthly Report of Official Travels and Report of Fuel Consumptions as required under existing rules and regulations.

   The accounting unit shall see to it that payment of fuel consumption shall be supported with duly accomplished Driver's Trip Ticket before certifying the disbursement vouchers.

3. **The Net-Take-Home pay of 60 LGU personnel were below the required minimum amount of Four Thousand Pesos (4,000.00) because the accountant did not strictly monitor the deductions made from the salaries of employees.**

   We recommended that management instruct the accountant to take into consideration the order of preference in deducting authorized deductions in the payroll and adjust the deductions accordingly to meet the minimum net take home pay of P4,000.00 in compliance with the General Provision of General Appropriation Acts of 2015.

4. **Cash advances granted to officers and employees totaling to ₱1,305,668.14 remained unliquidated at year-end due to inadequate monitoring in the submission of liquidation reports by concerned accountable officers and employees within the prescribed period.**

We reiterated our previous year's recommendation that management require the accountant to strictly monitor the submission of liquidation reports and send demand letters to concerned personnel if not submitted within the prescribed period. Otherwise, cause the withholding of salaries pursuant to paragraph 9.2 and 9.3 of COA Circular No. 97-002 and the institution of necessary sanction as provided under COA Circular 2012-004.

5. **Monthly and quarterly financial statements together with the Status of Appropriation, Allotment were not submitted on time because of the significant delay in recording the transactions in the books of accounts by the accounting office**.

   We recommended that the Local Chief Executive require the Municipal Accountant to submit the financial reports within the deadline set under Section 70 of the Manual of the NGAS. Also require the Municipal Budget Officer to submit the Status of Appropriations, Allotments and Obligations on a monthly basis within the deadline set by regulations.

   Otherwise, suspend the salary of the person responsible for failure to prepare and submit the required reports without justifiable reason, until complied with the requirements pursuant to Section 122 of Presidential Decree No. 1445.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱276,038.71	₱4,880.00	₱0.00	₱280,918.71	₱ 0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱276,038.71	₱4,880.00	₱0.00	₱280,918.71	₱ 0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 32 unimplemented audit recommendations embodied in the 2014 Annual Audit Report, ten were fully implemented, five were partially implemented while the 17 were not implemented.